

LoyaltyFi Tax Policy Explainer

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1. Overview

LoyaltyFi enables users to convert and manage loyalty points across various brand ecosystems. These points are treated as promotional rewards by default and are not considered legal tender or financial securities.

2. General Tax Treatment

- Points earned from purchases are typically treated as rebates or discounts, not taxable income.
- Points used within brand ecosystems (e.g., redeeming airline miles for flights) are also not taxable.
- Conversions into other brand points are not inherently taxable unless the converted points are redeemed for monetary value.

3. Taxable Scenarios

- If a user converts points into cash equivalents (e.g., gift cards, fiat, or crypto), this may be classified as income.
- Points earned through actions unrelated to purchases (e.g., watching ads, surveys) may be classified as promotional income.
- Users exceeding certain thresholds (e.g., \$600/year in the U.S.) may require tax reporting documentation (e.g., Form 1099-MISC).

4. Platform Compliance

- LoyaltyFi does not provide financial or tax advice.
- LoyaltyFi will issue year-end summaries for users whose transactions may fall under taxable

thresholds.

- For cash-out functionality, KYC/AML may be required. Users may be asked to provide identification and tax information.

5. Recommendations for Users

- Users are advised to track their redemption history and consult a qualified tax advisor if their redemptions exceed common non-taxable use.
- Users who earn tokens through non-purchase-based methods should review local tax policies.

6. Future Compliance Roadmap

- LoyaltyFi plans to integrate with tax reporting APIs and tools for automatic income flagging and reporting.
- Platform-level controls will allow brands and governments to define taxable vs. non-taxable rewards at the issuance level.

Disclaimer:

This document is for informational purposes only and does not constitute legal or tax advice. Please consult a certified tax professional regarding your specific obligations.